

Dino Polska S.A.

Financial Situation Analysis

Executive Report · 2021–2024 · Standalone Financial Statements · June 2026

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1. Management Summary

Dino Polska S.A. is a nationwide mid-size grocery supermarket chain operating since 1999. Within the competitive landscape, the company occupies an intermediate position in terms of scale — competing both with discount chains (Biedronka, Lidl) and convenience networks (Żabka). In 2024, the company additionally entered the e-commerce segment by acquiring a 75% stake in eZebra.pl.

Between 2021 and 2024, Dino Polska increased its store count from 1,815 to 2,688 (+48%), with a revenue CAGR of 29.8% — the highest among analyzed domestic competitors. The expansion is financed almost entirely through equity: its share of asset financing grew from 43% to 54%, while the overall debt ratio fell from 57% to 46%, driven by full profit retention and no dividend distributions.

Return on Sales (ROS) declined over the same period from 6.0% to 5.1%, primarily under pressure from rising labor and energy costs. Operating cash flows reached PLN 2,557M in 2024, covering both capital expenditures and the acquisition of a 75% stake in eZebra.pl. The overall financial position is assessed as stable, with one area to monitor: cost pressure eroding the sales margin.

Metric	2021	2024
Revenue (CAGR)	PLN 13,362M	PLN 29,274M (+29.8%)
ROS	6.0%	5.1%
Overall Debt Ratio	57%	46%
Operating Cash Flow	—	PLN 2,557M

2. Key Findings

Profitability

ROA remains high (11.5% in 2024), though below the 2023 peak of 13.5% — the decline reflects an acceleration of investment activity, not a deterioration in underlying results. ROE declined to 21.2%, primarily as a result of a growing equity base.

Liquidity and Operational Efficiency

Liquidity ratios (Current Ratio: 0.82; Quick Ratio: 0.25) are below textbook benchmarks, which is typical for high-turnover grocery retail, and both improved in 2024. The inventory cycle is stable (approximately 37 days), while the payables cycle (54 days) generates a negative cash conversion cycle — the company effectively finances current operations using supplier credit.

Debt Position

The overall debt ratio fell from 57% to 46%, and equity now finances 54% of total assets — the result of full profit retention and no dividend payments.

Cash Flows and Growth

Operating cash flows reached a record PLN 2,557M, fully covering capital expenditures of PLN 1,597M. Dino recorded the highest revenue growth rate (CAGR 29.8%) among analyzed entities — ahead of Żabka Group (23.9%) and Biedronka (15.1%). Revenue per store grew faster than competitors

(13.9% per year), indicating increasing productivity of the existing network, not only new location openings.

3. Key Risks

Risk	Potential Impact	Priority
Cost pressure (labor, energy)	May compress profitability faster than scale grows	Medium
Dependence on trade credit	Tightening supplier terms would require alternative financing	Medium
Intense discount competition	Biedronka, Lidl and Żabka may exert pricing pressure due to larger scale	Medium
Capital-intensive growth model	Slowdown in investment would directly limit revenue dynamics	Low
Food price deflation sensitivity	Deflation may stall nominal revenue growth at constant sales volumes	Low

4. Opportunities and Recommendations

- Continue expansion in small and medium-sized towns — the Dino format remains underrepresented relative to competitors in many locations.
- Growing productivity of the existing network (like-for-like +5.3% in 2024) as an additional revenue growth source that does not require new capital expenditure.
- Monitor labor and energy costs relative to revenue at the individual store level to limit further ROS erosion.
- Maintain discipline in supplier relationship management — trade credit is a key but actively managed source of financing.
- Continue the profit retention policy and financing of expansion through equity.
- Monitor e-commerce segment profitability (eZebra.pl) before further scaling of this business line.

5. Overall Assessment

Strengths

- Record operating cash flows fully covering capital expenditure needs.
- Systematic reduction of debt — 54% of assets financed by equity.
- Highest revenue and network productivity growth rate among analyzed competitors.

Weaknesses

- Declining Return on Sales (ROS) from 6.0% to 5.1% under labor and energy cost pressure.
- Structural dependence on favorable trade credit terms offered by suppliers.

Dino Polska enters the next period with a solid balance sheet and a proven expansion model. The key success factor will remain the ability to control cost pressure while maintaining the current network growth rate.

6. Abbreviations

Abbreviation	Meaning
ROS / ROA / ROE	Return on Sales / Return on Assets / Return on Equity
EBIT	Earnings Before Interest and Taxes
CAGR	Compound Annual Growth Rate
CR / QR	Current Ratio / Quick Ratio
NWC	Net Working Capital
CCC	Cash Conversion Cycle

Full ratio analysis and calculation methodology are available in the Dino Polska S.A. Analytical Report (2021–2024).